Life Insurance Basics

Universal life, term, and whole life · A free plain-English guide from Money Understood · Real money. No BS.

> **Educational purposes only.** This guide is general education. It is not insurance, financial, tax, or legal advice, and it is not a recommendation to buy, replace, or cancel any policy. Policy features, eligibility, and prices are set by insurers and vary by company, product, age, health, and state. Read the actual policy and talk with a licensed agent in your state before you act.
>
> **Money Understood is not an insurance company** and does not issue or underwrite policies.
>
> **Requesting this guide may lead to contact by a licensed professional.** You are never obligated to buy anything.
>
> Not affiliated with the federal government or the Thrift Savings Plan.

---

1. The short version

Life insurance pays a **death benefit** to the people you name (your **beneficiaries**) if you die while the policy is in force. Three common types:

- **Universal life:** permanent coverage with a **cash value**, typically with flexible premiums. The cash value earns interest according to the policy's terms. If it is not funded enough, the policy can lapse.
- **Term life:** coverage for a set period, such as a number of years. If the term ends while you are alive, the coverage ends unless you renew or convert it.
- **Whole life:** permanent coverage meant to last your lifetime as long as premiums are paid, with a **cash value** that builds inside the policy under the contract's terms.

The best fit depends on **what you want the money to do, for how long, and what you can comfortably pay**.

---

2. Side-by-side look

General patterns only. Individual policies differ. Read the contract.

	Universal life	Term life	Whole life
Built for	Lifelong coverage with flexible premiums and a cash value	Covering a period of big obligations: income replacement, a mortgage, raising kids	Lifelong coverage, estate or legacy goals, or a policy with cash value
How long it lasts	Lifetime, as long as the cash value and premiums cover the policy's costs (some policies offer a guarantee if you meet its rules)	A set term; ends unless renewed or converted	Lifetime, while premiums are paid
Coverage size	Varies	Can be large	Varies

	Universal life	Term life	Whole life
Premiums	Often flexible within the policy's limits; paying too little can put the policy at risk of lapsing	Often a lower starting cost for a given amount of coverage, especially when younger and healthy; renewals usually cost more	Often level; typically a higher starting cost than term for the same coverage amount, because the coverage is designed to last for life and builds cash value
Cash value	Yes, under the contract's terms; growth and charges vary	None	Yes, under the contract's terms
Underwriting	Usually health questions; may include an exam	Usually health questions; may include an exam	Usually health questions; may include an exam
Watch for	Underfunding and lapse; cost of insurance that can rise with age; guaranteed values versus illustrations	Coverage ending when you may still need it; whether it can be converted	Cost; surrender charges; how loans and withdrawals reduce the benefit

---

3. Universal life insurance

What it is. Permanent coverage with a cash value, typically with flexible premiums. The cash value earns interest according to the policy's terms, often at a rate the insurer declares, subject to a guaranteed minimum.

How it usually works

- You can often change how much you pay, and sometimes when you pay, within the policy's limits. A minimum amount is often needed to keep the policy in force.
- Each month, the insurer usually deducts the cost of insurance and expenses from the cash value, and credits interest.
- If you pay less than the policy needs, the cash value can shrink. If it runs out, the policy can lapse unless you pay enough to keep it going.
- Some policies offer a guaranteed death benefit if you pay a required premium and meet the contract's rules. Others depend on the cash value staying high enough. Ask which kind you are looking at, and get the guaranteed values in writing.
- You may be able to borrow against or withdraw from the cash value. That can reduce the death benefit, can accrue interest on a loan, and may have tax consequences. If a loan grows too large, the policy can lapse.
- Some versions, including indexed universal life and variable universal life, credit interest using a market index or let the cash value go into investment accounts. Those work differently and carry different risks. Read the policy and the illustration carefully, and look at both the guaranteed and the non-guaranteed figures.

Ask yourself

- Can I keep funding this policy for the long term, even if the cost of insurance rises as I get older?
- What is guaranteed, and what is only an illustration?
- What happens if I pay only the minimum for several years?

Universal life is not an investment account and is not a substitute for an emergency fund or retirement savings. Weigh it as insurance first.

---

4. Term life insurance

What it is. Coverage for a set period. If you die during the term, the death benefit is paid. If the term ends, the coverage ends.

How it usually works

- Premiums are often level for the term you choose.
- Some policies can be **renewed** at the end, usually at a higher price based on your age then.
- Some can be **converted** to a permanent policy without new health questions, within a set window. Check the conversion deadline and which policies you can convert to.
- Term has no cash value. You are paying for coverage only.

Ask yourself

- What years do the people who depend on me need protection for?
- How much would replace my income or pay off the big debts?
- If my health changes, would I want the option to convert?

Life insurance through work. Group life at your job is usually tied to that job. If you leave, it may end, or you may have a limited window to convert or port it. Check your benefits booklet. Do not assume it follows you.

---

5. Whole life insurance

What it is. Permanent coverage designed to last your lifetime as long as required premiums are paid, with a cash value component.

How it usually works

- Premiums are often level. The starting cost is typically higher than term for the same death benefit, because the coverage is designed to last for life and builds cash value.
- **Cash value** grows according to the policy's terms. Some policies may pay dividends; dividends are not guaranteed.
- You may be able to **borrow** against the cash value. A policy loan accrues interest, and an unpaid loan reduces the death benefit. If loans grow too large, the policy can lapse.
- **Surrendering** (cancelling for cash) early may come with surrender charges and may have tax consequences.

Ask yourself

- Do I need coverage for my whole life, or for a period?
- Can I comfortably pay this premium for many years?
- Do I understand exactly what the cash value can and cannot do?

Whole life is not an investment account and is not a substitute for an emergency fund or retirement savings. Weigh it as insurance first.

---

6. Things every policy has that you should read

- **Beneficiaries.** Name a primary and a contingent beneficiary, and update them after marriage, divorce, a birth, or a death. The beneficiary form generally controls who gets paid.
- **Contestability period.** For a period after the policy starts, the insurer can review the application if a claim is filed. Answer every health question truthfully.
- **Free-look period.** Many states give you a set number of days to review a new policy and cancel for a refund. The length varies by state.
- **Grace period and lapse.** Know how long you have if a premium is late, and what happens if the policy lapses.
- **Riders.** Optional add-ons, such as accelerated death benefits or waiver of premium, each with their own rules and costs.
- **Replacement.** Be careful about cancelling an existing policy to buy a new one. You can lose benefits, restart contestability, or pay more. Many states require a replacement disclosure form.

---

7. Questions to ask an agent before you apply

1. Are you licensed in my state? (You can check with your state's department of insurance.)
2. Which insurers do you represent, and how are you paid on this policy?
3. Why this type — universal life, term, or whole life — for my situation?
4. What is the exact death benefit, and is any part of it limited in the early years?
5. Is the premium level for life, or can it go up? Until when? For universal life, what happens if I pay only the minimum?
6. What happens if I miss a payment?
7. For term: can it be renewed or converted, and until what date?
8. For whole life or universal life: what are the guaranteed values versus non-guaranteed projections? What are the surrender charges?
9. Am I replacing any existing coverage? What would I lose?
10. Can I see the full policy or a specimen contract before I sign?

8. A simple checklist

[ ] Write down who depends on you and what you want the coverage to pay for.

[ ] List any coverage you already have, including group life at work.

[ ] Decide how long you need coverage: a set period, or life.

[ ] Set a premium you could comfortably pay for years.

[ ] Get the policy details in writing and read the beneficiary, contestability, and free-look sections.

[ ] Verify the agent's license with your state insurance department.

[ ] Do not let anyone rush you.

Where to learn more (official, public)

- Your state's department of insurance (licensing lookups, consumer guides, complaint filing).
- The National Association of Insurance Commissioners (NAIC) consumer resources, including its *Life Insurance Buyer's Guide*: https://content.naic.org/

Money Understood · Real money. No BS. Educational purposes only. Not insurance, financial, tax, or legal advice. No returns, cash values, approvals, or prices are guaranteed by this guide. Money Understood does not issue insurance. Not affiliated with the federal government or the Thrift Savings Plan. Requesting this guide may lead to contact by a licensed professional.